

Rate-Setting Worksheet

Most freelancers set rates by guessing what feels “not too greedy.” This worksheet replaces the guess with arithmetic. Work through it with real numbers — it takes about 20 minutes.

Step 1 — Your Real Cost of Living (annual)

Item	Amount
Personal living costs (rent, food, transport, family)	\$ _____
Health insurance & medical	\$ _____
Retirement savings (aim for 10–15% of target income)	\$ _____
Taxes (self-employed: estimate 25–35% of gross — you pay both halves now)	\$ _____
Business costs (software, hardware, workspace, accounting)	\$ _____
Buffer for slow months (aim: 10% of the total above)	\$ _____
A. Total you must earn	\$ _____

Step 2 — Your Real Billable Hours (annual)

Start with 2,080 (40 hrs × 52 weeks), then subtract honestly:

Deduction	Typical	Yours
Vacation + holidays + sick time	–240 hrs	– _____
Marketing, sales calls, proposals	–300 hrs	– _____
Admin, invoicing, email	–200 hrs	– _____
Learning & skill development	–100 hrs	– _____
Unbillable gaps between projects	–200 hrs	– _____
B. Realistic billable hours	≈1,040	_____

The takeaway most people miss: you can bill roughly *half* of your working hours. This is why “my old salary ÷ 2,080” produces a rate that slowly bankrupts you.

Step 3 — Your Floor Rate

A ÷ B = your minimum hourly rate: \$ _____/hr

This is your **floor** — the rate below which working is losing money. It is not your price. Your price is the floor plus profit and market positioning:

Multiplier	When
Floor × 1.3	You're newer, building a portfolio deliberately
Floor × 1.5–2	You have results and testimonials (most freelancers belong here)
Floor × 2–3+	You specialize in a niche with measurable business outcomes

My target rate: \$_____/hr

Step 4 — Convert to Project Pricing (recommended)

Hourly pricing punishes you for being fast. For defined projects, quote fixed prices built from your target rate:

1. Estimate hours honestly: _____ hrs
2. Add 20–30% (revisions, communication, the unexpected — this is not padding, it's realism): _____ hrs
3. × target rate = **base project price:** \$_____
4. Gut-check against the client's value: if the project makes/saves the client 10× your price, you're in healthy territory — and there's room for your Option B (see Proposal Template).

Step 5 — The Raise Schedule

Rates are not a one-time decision. Put these triggers in your calendar right now:

- ☐ **Every 2 new clients:** quote the next prospect 10–15% higher. New clients have no anchor — they simply meet the new you.
- ☐ **At 80% capacity for 2+ months:** raise rates across the board. Fully booked at your current rate *is* the market telling you you're underpriced.
- ☐ **Annually, existing clients:** +5–10% with 6–8 weeks' notice (Email Script #9 handles this conversation).
- ☐ **When you'd dread the project:** quote the "I'd be happy at this number" price. The worst case is a no; the best case is being paid properly for hard work.

Quick Reality Checks

- If **every** prospect says yes instantly, your rate is too low. A healthy close rate on proposals is 40–60% — below that, fix your positioning; above ~80%, raise prices.
 - Never justify your rate with your costs ("I have to charge this because insurance..."). Clients pay for outcomes. Justify with results.
 - The discomfort of quoting a higher number lasts ten seconds. The cost of a too-low rate lasts the entire project.
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